money at the age of sixty-five?

Fred will. His account will grow to $579,504. Steve's account will only grow to $470,247. How can this be—Fred only invested $18,000, while Steve invested $70,000? The answer is compound interest. While Fred invested less money, he started nine years sooner than Steve did. Steve's money just didn't have enough time to grow.

The following chart illustrates the pattern of Fred's early contributions and then Steve's later contributions:

Age	Early Contri-butions	Year-End Balance	Age	Later Contri-butions	Year-End Balance
26	$2,000	$13,046	26	0	0
27	$2,000	$16,401	27	0	0
28	$2,000	$20,057	28	0	0
29	$2,000	$24,042	29	0	0
30	$2,000	$28,386	30	0	0
31	0	$30,941	31	$2,000	$2,180
32	0	$33,726	32	$2,000	$4,556
33	0	$36,761	33	$2,000	$7,146
34	0	$40,070	34	$2,000	$9,969
35	0	$43,676	35	$2,000	$13,046
36	0	$47,607	36	$2,000	$16,401
37	0	$51,892	37	$2,000	$20,057
38	0	$56,562	38	$2,000	$24,042
39	0	$61,653	39	$2,000	$28,386
40	0	$67,202	40	$2,000	$33,121
41	0	$73,250	41	$2,000	$38,282
42	0	$79,843	42	$2,000	$43,907
43	0	$87,029	43	$2,000	$50,039
44	0	$94,862	44	$2,000	$56,722

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